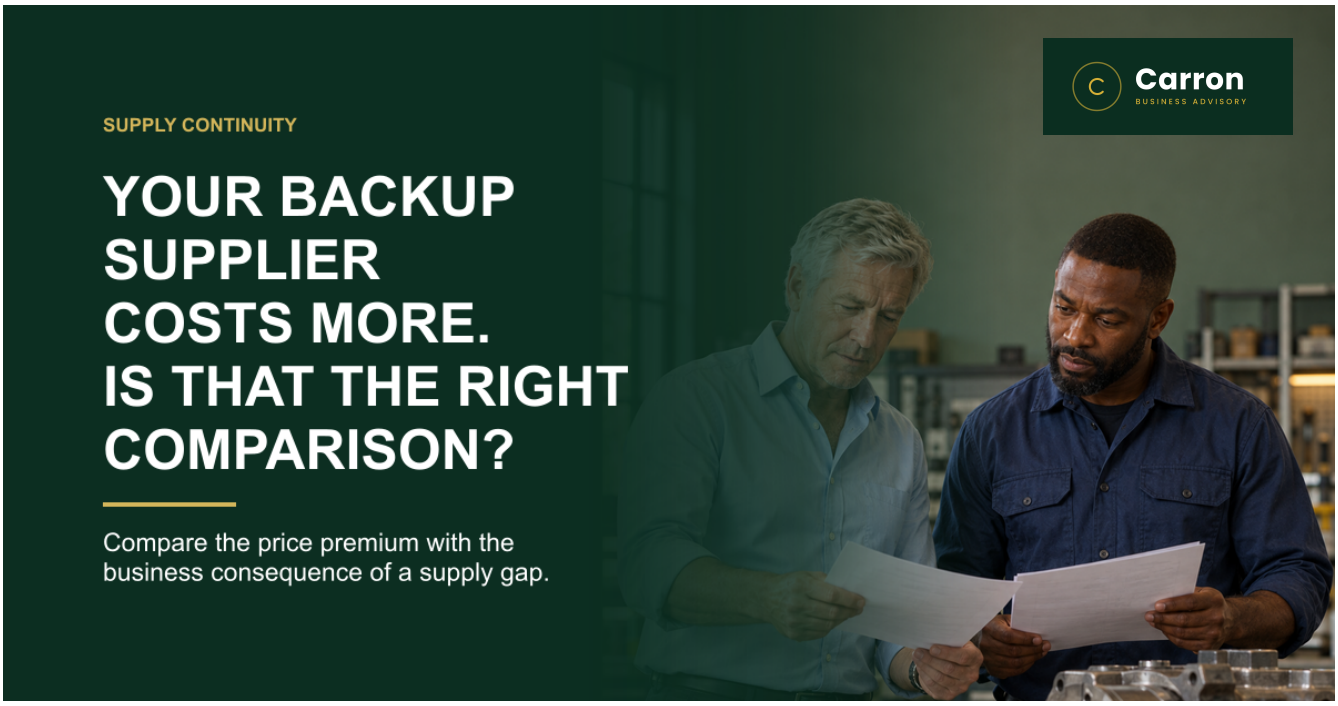


EDUCATIONAL SME BUSINESS REPORT

Executive Summary

The alternative supplier is more expensive. Purchasing can see the extra cost immediately. What is harder to see is the contribution, delivery reliability and recovery cost at risk if the only current supplier cannot deliver a critical item.

A backup is not automatically worth paying for, and a second name in a spreadsheet is not proof of resilience. Test the dependency, verify whether the alternative can actually supply, and compare a realistic disruption case with the full cost of keeping the option available.

This report uses an illustrative break-even comparison rather than an invented probability of disruption. The aim is a proportionate commercial decision: protect the inputs that can stop the business, without paying for unnecessary duplication everywhere.

DECISION PRINCIPLE

Compare the premium with contribution at risk, and verify that the alternative works.

REPORT INDEX

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Compare the price premium with the business consequence of a supply gap.

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MAIN ARTICLE

1. Rank suppliers by what stops, not only by spend

A low-value part can halt an expensive machine. A single specialist service can prevent a customer handover. Meanwhile, a much larger spend on easily substituted materials may create less immediate dependency. Start with the business consequence of non-delivery.

For each critical input, identify what work stops, how long available stock or another process buys, and which customer commitments are exposed. Check the time needed to source, approve and use an alternative, not just the transport time printed on a quote.

Supplier diversification and stronger relationships are established approaches to supply resilience, but they are not guarantees. Two distributors may rely on the same manufacturer, route or scarce material. Ask where the dependency sits before treating the second supplier as independent.

Keep the assessment proportionate. A small SME need not map every minor item to the same depth. Begin with the inputs that can materially interrupt contribution or delivery, and record the evidence supporting the priority.

2. Compare contribution at risk with the annual premium

Suppose an illustrative workshop uses 200 critical components a year. Its usual supplier charges R1,000 each. An approved alternative charges R1,100. If management routes 40 components a year through the alternative to keep the relationship active, the extra purchase cost is R4,000.

Assume one otherwise-unrecoverable day of interrupted work would lose R12,000 of contribution and create R3,000 of additional recovery cost. That is R15,000 of exposure for that scenario. It is not R15,000 of certain savings from having a backup.

In a simplified comparison, R4,000 divided by R15,000 is about 26.7%. That is the annual break-even likelihood for this one event only if the backup prevents the entire stated loss and has no further costs. The percentage is a threshold to challenge, not a forecast of how often disruption will occur.

If the alternative prevents only half the loss, the benefit per event is R7,500 and the simplified threshold rises to about 53.3%. Qualification costs, extra stock, freight and ongoing administration would raise the required benefit further. Specify the period and assumptions consistently.

MAIN ARTICLE

Worked illustration: the section 2 comparison

Illustrative item	Calculation	Amount
Annual price premium	40 x R100	R4,000
One-day loss scenario	R12,000 + R3,000	R15,000
Full-loss prevention threshold	R4,000 / R15,000	26.7%
Half-loss prevention threshold	R4,000 / R7,500	53.3%

Illustration only. Read the calculation with the assumptions in section 2.

3. Do not mistake postponed work for lost contribution

A stopped day does not always destroy a day's contribution. The work may move to a later day, another machine or a subcontractor. The relevant loss is what the business cannot recover, plus genuine additional costs of catching up.

Conversely, a brief interruption can have consequences beyond the workshop if a customer misses an important delivery. Investigate those consequences rather than assuming every late order loses the customer. Use a range of credible outcomes and explain the evidence for each.

Avoid counting the same loss twice. If a contribution estimate already includes the variable cost saved when production stops, do not subtract it again. If a recovery estimate includes extra freight, keep it out of the contribution figure unless the definitions make the distinction clear.

Where probabilities are unknown, compare low, central and high exposure cases without inventing precision. Management can still decide what interruption it can carry and what preparation is sensible. The comparison informs a judgement; it does not manufacture certainty from a thin history.

MAIN ARTICLE

4. Qualify the backup before relying on it

An attractive quotation does not prove compatibility, quality, capacity or response time. Confirm the specification, try an appropriate sample or controlled trial, and ask the technical owner to approve the result. Use qualified specialists for safety-critical, regulated or technically complex inputs.

Check what the supplier can actually commit to when called. Is stock held locally? Can the promised quantity be dispatched? Does the lead time include manufacturing and approval? Is the same upstream source behind both options? Keep the answer and review it when circumstances change.

A modest amount of regular business may help keep an alternative familiar with your requirements, but it does not create a legal guarantee of priority. Any reserved capacity, service promise or contractual obligation needs to be agreed and interpreted appropriately.

Verify banking details through the business's normal independent controls when onboarding or changing a supplier. Supply urgency should not become a reason to bypass payment security, credit approval or product qualification.

5. Compare more than two suppliers

The choice is not always 'one cheap supplier or two expensive ones'. Options can include a small buffer of the critical item, a standardised specification, preventative maintenance, an alternative process or an agreed recovery arrangement with the existing supplier.

Each option has costs and limits. Extra stock consumes cash and may become obsolete. A second process may need training or equipment. A reserved supply arrangement may carry a fee. Put the full cost beside the time and contribution it can protect.

Do not buy a large amount of general stock simply because one small input is critical. Target the specific dependency. Compare the cash effect and the risk of unused inventory with the cost of the qualified alternative.

Choose the least complicated option that adequately addresses the exposure. The right solution can be different for a routine consumable, a custom component and an irreplaceable technical service. Record what level of interruption remains after the decision.

MAIN ARTICLE

6. Give the continuity plan a trigger and an owner

Decide when the alternative should be contacted. A trigger might be a missed confirmed dispatch, stock falling below the time needed to replenish it, or a verified supplier capacity problem. Set it from your lead time and commitments rather than an arbitrary universal rule.

Name who checks the signal, who can authorise the alternative order and who tells the customer if delivery is affected. Keep current contact details, approved specifications and the latest trial evidence together. A plan that needs the owner's memory to work is a fragile plan.

Owner questions: Which input could stop our contribution? How much time do we have? Is the backup independent and qualified? What loss can it actually prevent? What does the option cost each year? When was it last tested? What cash or technical risk does the solution add?

Review after a disruption or a meaningful change in demand, specification or lead time. Learn whether the option reduced the loss and whether another control would have been cheaper. Do not judge resilience only by whether the supplier price was the lowest.

Closing perspective

A higher supplier price can buy a useful option, or it can simply add cost. The financial test starts with a specific dependency and a credible consequence, then checks whether the alternative can reduce that consequence. Protect critical contribution deliberately. Paying more without qualification is not resilience, and choosing the lowest unit price without considering interruption is not a complete comparison.

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PRACTICAL TOOL

Critical Supply Decision Record

Use this record before approval. Add actual results and the review decision afterwards.

Field	Evidence to record
Critical input	Item/service, dependency and technical owner Record: _____
Time available	Stock cover, confirmed lead time and customer commitment Record: _____
Loss scenario	Unrecoverable contribution and separate recovery cost Record: _____
Alternative readiness	Specification, trial, stock, capacity and upstream source Record: _____
Full cost	Price premium, qualification, freight, stock and administration Record: _____
Other options	Buffer, standardisation, process or recovery agreement Record: _____
Decision and trigger	Approval, contact, trigger, remaining exposure and review Record: _____

Use verified company inputs. This management record does not replace specialist advice or the underlying source records.